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FM Graded Quiz M6

Question 1

According to "6 Things to Know About How Development Works.", in a competitive real estate market, why is it difficult for developers to reap windfall profits?

- ☐ Developers always prioritize affordability over profits
- ☐ The cost of construction materials prevents any significant profit margins
- ☐ Government regulations cap developer profits
- ☐ Developers willing to accept lower profits can outbid those seeking higher returns for the same land



Time left:
59:23

QUESTIONS

X	X	X	X
X	X	X	X
X	X	X	X
X	X	X	X

Question 2

Which of the following best describes the relationship between leverage and equity?

- ☐ As leverage increases, equity decreases relative to assets
- ☐ As leverage increases, equity remains constant
- ☐ As leverage increases, equity increases relative to assets
- ☐ Leverage and equity are unrelated

Question 3

If a stock's 12-day moving average is \$55 and its 26-day moving average is \$53 what does the MACD indicate?

- ☐ A potential sell signal
- ☐ A bearish trend
- ☐ A potential buy signal
- ☐ No clear signal

Question 4

What would be the assets on a bank's balance sheet if it has cash of €10 million, securities worth €50 million, and loans totaling €200 million?

- ☐ €240 million
- ☐ €210 million
- ☐ €260 million
- ☐ €200 million

Question 5

How might the success of integrated partnerships in expanding housing finance access be evaluated?

- ☐ By the total monetary value of loans issued
- ☐ By the profit margins of participating financial institutions
- ☐ By measuring the increase in housing finance availability for low- and middle-income households
- ☐ By the number of partnerships formed

Question 6

According to "A Review of Fundamental and Technical Stock Analysis Techniques.", which of the following best describes the relationship between fundamental analysis and the Efficient Market Hypothesis?

- ☐ Fundamental analysis relies on the Efficient Market Hypothesis to determine intrinsic value
- ☐ Fundamental analysis assumes the market does not fully reflect a stock's real value while the Efficient Market Hypothesis suggests it does
- ☐ The Efficient Market Hypothesis is a tool used in fundamental analysis to predict future stock prices
- ☐ Fundamental analysis and the Efficient Market Hypothesis both assume markets are always efficient

Question 7

What is a potential disadvantage of using short-term bonds for real estate development financing?

- ☐ Increased regulatory scrutiny
- ☐ The need to repay or refinance the principal soon
- ☐ Less flexibility in repayment schedules
- ☐ Higher interest rates

Question 8

According to "Finance, Banking, and Money", what is the primary reason for the difficulty in determining how to account for changes in asset and liability values?

- ☐ The choice of accounting method affects the residual equity and perceptions of a company's value and viability

- ☐ Market values are too volatile to be meaningful
- ☐ Historical cost is always more accurate than market value
- ☐ Regulatory requirements mandate a specific method

Question 9

If a company's market price per share is \$80 and its book value per share is \$40 what is its P/B ratio?

- ☐ 1.5
- ☐ 0.5
- ☐ 120
- ☐ 2

Question 10

If a bank has total assets of €1 billion, deposits of €700 million, and borrowings of €200 million, what is its equity?

- ☐ € 0
- ☐ €300 million
- ☐ €100 million
- ☐ €900 million

Question 11

According to "The Financialization of Rented Homes: Continuity and Change in Housing Financialization.", what potential impact of rental housing financialization on

urban housing markets is suggested by REIT and REOC investment strategies?

- ☐ Increased affordable housing options for low-income urban residents
- ☐ Increased supply and quality of housing for median-income knowledge workers while potentially displacing lower-income residents
- ☐ Decreased overall housing supply in major urban areas
- ☐ No significant impact on urban housing markets

Question 12

According to "Equity Research: Fundamental and Technical Analysis.", what is the primary limitation of using the PEG ratio for stock valuation according to the paper?

- ☐ It is not applicable to technology companies due to their high growth rates
- ☐ It can only be applied to companies that pay dividends
- ☐ The ratio is too complex for most investors to calculate accurately
- ☐ Its accuracy depends on the inputs used and historical growth rates may not reflect future growth expectations

Question 13

How might the decision to use equity financing affect a real estate development company's future projects?

- ☐ It would have no impact on future projects

- ☐ It would require the company to focus solely on residential properties
- ☐ It could allow for larger projects due to increased capital but with shared decision-making
- ☐ It would limit the company to only small-scale projects

Question 14

According "Mortgage-Default Research and the Recent Foreclosure Crisis.", what is the primary limitation of the pure double-trigger model?

- ☐ It overestimates the impact of idiosyncratic shocks on default probability
- ☐ It implies equal likelihood of default for borrowers with vastly different levels of negative equity or income loss
- ☐ It fails to account for positive equity scenarios
- ☐ It does not consider credit scores in default predictions

Question 15

If a stock's current price is \$60 its price 30 days ago was \$55 and its price 60 days ago was \$50 what is the difference between its 30-day and 60-day momentum?

- ☐ \$10
- ☐ \$5
- ☐ \$0
- ☐ \$15

Question 16

Calculate the home equity for a house worth €300,000 with a mortgage balance of €250,000 and a home equity loan of €30,000.

- ☐ € 50,000
- ☐ -€ 30,000
- ☐ € 0
- ☐ € 20,000

SUBMIT